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Worksheet of Considerations
PARTNERSHIP AGREEMENTS

There is usually great excitement when a partnership is being formed. But you need to take the appropriate time to consider the following issues so that you may have a successful and rewarding partnership! This document touches on many of the more difficult issues you will face. It is important that there is agreement on them before the partnership begins, so fill it out together as one of your first duties as partners and then build in these thoughts into your partnership agreement.

Regardless of the business structure – i.e. S-Corp, LLC, or Partnership, you need a partnership agreement. It is very important to review the details related to the following: entering the partnership, what the expectations of each partner are; compensation; and exiting the partnership.

At some point, someone will leave the partnership. Life changes create different needs, desires, and expectations so it is very important to make sure things are clear so that you are able to handle most unexpected turns of events. A clear understanding between the partners from the start can help your business succeed, be productive, and optimize your results.

A. ENTERING THE PARTNERSHIP:

1. What will be the initial capital contributions of the partners?

   Name: _____ Amount: _____ Ownership _____%

   Name: _____ Amount: _____ Ownership _____%

   Name: _____ Amount: _____ Ownership _____%

2. Are partners obligated to personally guarantee loans? ☐Yes ☐No

3. Partners obligated to sign over personal equity in support of loans? ☐Yes ☐No

4. Interest paid on capital contributions by partners? ☐Yes ____% ☐No

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5. Will there be loans made by the partners to the partnership?

Name: _____ Amount: $_____ Term ___ Years ____%

Name: _____ Amount: $_____ Term ___ Years ____%

Name: _____ Amount: $_____ Term ___ Years ____%

B. EXPECTATIONS AND COMPENSATION OF THE PARTNERS:

1. If at any time in the future the partnership needs additional capital,
   a. Will the partners be obligated to contribute personally? ☐Yes ☐No

      i. In what proportion?

         Name: _____ Percent: _____%

         Name: _____ Percent: _____%

         Name: _____ Percent: _____%

      ii. Subject to a cap?

         Name: _____ Amount: $_____

         Name: _____ Amount: $_____

         Name: _____ Amount: $_____

   b. Partners obligated to personally guarantee additional loans? ☐Yes ☐No

   c. Partners obligated to sign over additional personal equity in support of loan requirements? ☐Yes ☐No

2. Under what circumstances can capital contributions be withdrawn from the partnership?

_____

_____

_____

3. How are profits and losses allocated among the partners?

_____

_____

_____

4. When are distributions of profits to be made?

_____

_____

_____

5. Who decides this distribution and when?

_____

_____

_____

6. Are there profits that will be retained in the business and not distributed?

_____

_____

_____

7. Describe how the business will be managed? Will there be a managing partner (one having authority over other partners' activities and roles)?

_____

_____

_____

8. Will there be partners performing work in the partnership? ☐Yes ☐No

9. What are the specific roles and time commitments for the partners?

_____

_____

_____

10. What are the responsibilities and authorities of the partners?

    a. Who can hire, fire, etc?

_____

_____

_____

    b. Who purchases what without getting partners' approval?

_____

_____

_____

    c. Is there an authorization cap? $_____

d. Who has access to the funds?

_____

_____

_____

e. Who is responsible for the financial management, record keeping and reporting?

_____

f. How do you determine selling price, discounts, etc.?

_____

_____

_____

g. Do you require a partner to approve expense report payments for the other? ☐Yes ☐No

h. What acts will not require the majority consent of the partners?

_____

_____

_____

i. What acts will require the unanimous consent of the partners? (Contractual? Purchases over $x? etc.)

_____

_____

_____

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11. What outside activities of the partners considered unfair and therefore are restricted?

_____

_____

_____

12. Is any partner entitled to a salary?

Name: _____ Amount: $_____ per _____

Name: _____ Amount: $_____ per _____

Name: _____ Amount: $_____ per _____

13. Other salary or pay considerations?

_____

_____

_____

14. If the business does not have the cash to pay the partners' salaries, how will the decision to handle this situation be made?

_____

_____

_____

15. What standard communications are required of the partners?

_____

_____

_____

16. How can new partners be added?

_____

_____

_____

C. EXITING THE PARTNERSHIP:

Perhaps the most important consideration in establishing a partnership is the end. In most cases it makes sense that a primary objective of the partners is to ensure the business continues and so they must leave it financially able to continue.

1. Is there a non-compete clause for exiting partner(s)? ☐Yes ☐No

2. If life changing events or relationship issues occur that cause a partner to lose focus, reduce hours, or withdraw completely:

    a. Should this demand the initiation of selling the entire business? ☐Yes ☐No

    b. Should this demand the initiation of a buyout process for the remaining partner(s)? ☐Yes ☐No

    c. If health related:

        i. Does the partnership provide for insurance so the partner continues to receive income? ☐Yes ☐No

ii. Does the business require insurance to provide a means to compensate for the loss? ☐Yes ☐No

d. Are there protected rights agreed on for the remaining partner(s) so that the business has the means to continue and the remaining partner(s) can continue to receive income – such as a buyout process over time and perhaps a lower buyout to offset the remaining partners losses occurring from the loss of a key person or other factors? Describe:

_____

_____

_____

3. In the case of a partner's death,

a. Does the value get distributed to the estate? ☐Yes ☐No

b. Does the authority and responsibility of the business activities transfer to the remaining partner(s)? ☐Yes ☐No

c. Do the new owners have the responsibility to perform the work of the partner who died? ☐Yes ☐No

d. Or does that authority and responsibility stay with the owner of the stock? ☐Yes ☐No

e. What is the buyout option and procedure for the remaining partner?

_____

_____

_____

f. Does the business require appropriate insurances to ensure it can continue after such a death? ☐Yes ☐No

4. If a partner(s) finds the other is not performing according to the spirit of the partnership agreement:

    a. What options can be exercised?

    _____

    _____

    _____

    b. What are the steps required by the concerned partner(s)?

    _____

    _____

    _____

    _____

5. What is the formula used in establishing the selling partner's value?

    _____

    _____

    _____

6. Describe the agreed payment structure (or options) and criteria that are fair for the remaining partner(s) to buyout an exiting partner's stock such that the business survives the change.

    _____

    _____

    _____

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Additional Considerations:

_____

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We agree to the terms of this document and will build these points into our partnership agreement:

Name: _____ Signature:_____

Date: _____ Ownership: _____%

Name: _____ Signature:_____

Date: _____ Ownership: _____%

Name: _____ Signature:_____

Date: _____ Ownership: _____%

Witness: _____ Date:_____